

Treasuries

Burning down the house

- The front end has lagged the hawkish shift in Fed rhetoric and the rise in growth expectations, but with the latest moves they have now caught up to these drivers, and look fairly valued on this basis for the first time since early summer
- Yields tend to rise in anticipation of the first hike, but do not tend to peak until two to three months afterward. Moves in 10-year yields have tracked the average behavior observed historically, but the curve flattening has been more decisive than in the average cycle
- With both front-end and intermediate sector yields now appearing more in line with underlying drivers, these factors could provide some near-term support for yield levels, though next week's employment report looms large, positioning leans long, risking further position squaring over the near term
- Thus, we remain neutral on duration, though our bearish bias is not as strong as it has been in recent weeks. We continue to recommend holding 10s/20s/30s belly-cheapening butterflies
- Liquidity has deteriorated amid rising vol, market functioning remains above medium-term average level and well above post-pandemic troughs even given some pullback since July
- We expect \$380bn in net bill issuance from the second week in October through Thanksgiving, before turning negative once again into the December corporate tax date, and see scope for the TGA to briefly peak above \$1.050tn in late-October, likely bringing reserve balances below \$2.9tn in the process
- We discuss the 12th Treasury Market Conference held by the New York Fed, which largely advanced the ball on current policy initiatives, including central clearing, TGA investment in repo, and stablecoins/tokenized deposits

Market views

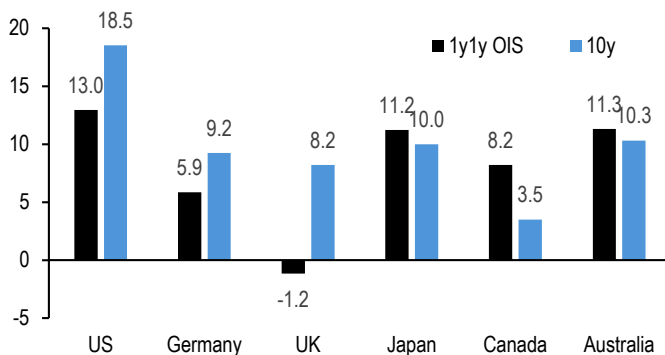
We've begun to run out of superlatives as global bond yields continue to move higher. Government bond yields have continued their ascent this week, with 10-year Treasury yields now 40+bp higher on the month, retracing to multi-decade highs, and underperforming other DM government bond markets in the process (**Figure 1**). At its root, we think fundamentals are at work, as this week's data flow was generally positive. The September PMIs were very strong: the composite PMI rose to 58.4 (consensus: 55.3), its highest level since July 2021, while the manufacturing reading rose to 57.0 (consensus: 53.7), the highest level since April 2022. The signals from the employment growth and inflation details of the report were also strong, and the data are consistent with GDP growth of around 5%_{ar} (see [US: A blowout September flash PMI](#), Bennett Parrish, 9/23/26). Separately, continuing claims for the week ending September 12 (the reference week for the September household survey) beat expectations at 1719k (consensus: 1740k), pointing to ongoing declines in unemployment, though rounding UER down to 4.0% in the September employment report might be difficult (see [US: Low unemployment signal from claims continues](#), Abiel Reinhart, 9/24/26).

Fundamentals were certainly the proximate driver, but we think position technicals also played a role: our latest *Treasury Client Survey*, taken early in the week, indicated investors added duration following the FOMC meeting. As we discussed last week, this stands in stark contrast to the period around the onset of other tightening cycles, as the survey leaned short

in nearly every other instance (**Figure 2**). On the week, 2-, 5-, 10-, and 30-year yields rose 12bp, 15bp, 19bp, and 17bp, respectively.

Figure 1: Treasury yields retraced to multi-decade highs this week and underperformed the rest of the DM amid strong data and a tepid reception for Treasury supply...

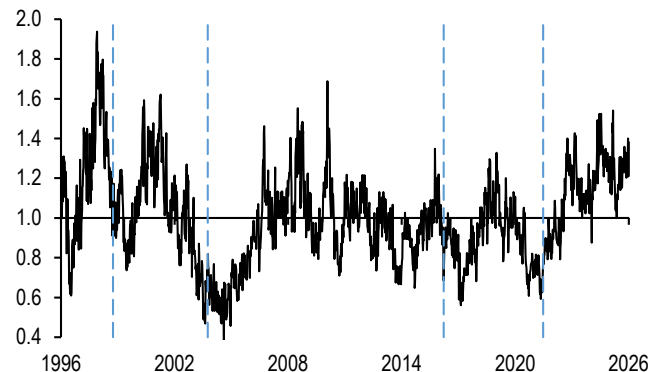
Changes in various DM 1y1y OIS and 10-year government bond yields, 9/18/26-9/25/26; bp



Source: J.P. Morgan

Figure 2: ...and positioning likely played a role. Unlike periods around the onset of other tightening cycles, our Treasury Client Survey has leaned long in recent weeks

J.P. Morgan Treasury Client Survey Index*;

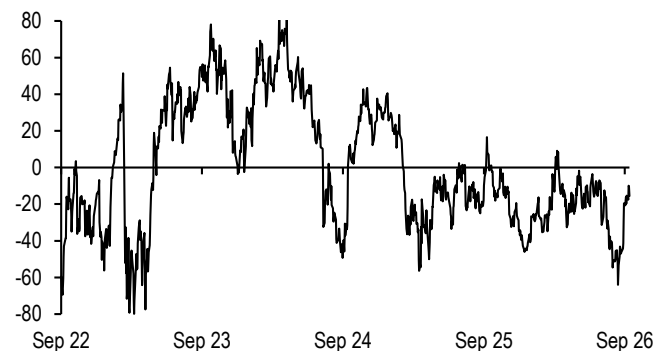


* (Longs + Neutrals)/(Shorts + Neutrals). Dashed lines denote first hike in tightening cycle
Source: J.P. Morgan

In the context of these moves, we think it's worthwhile to explore current valuations, and also compare the evolution of moves in rates and curves with the behavior around the onset of other Fed tightening cycles historically. As we discussed earlier this year, the front end has lagged the hawkish shift in Fed rhetoric and the rise in growth expectations, as measured by our US Forecast Revision Index (FRI). Notably, 2-year yields had looked about 50bp too low on this basis as recently as late-August, but with the latest moves they have now caught up to Fed speak and growth expectations, and look fairly valued on this basis for the first time since early-summer (**Figure 3**).

Figure 3: The front end no longer appears expensive relative to the shift in Fed rhetoric and growth expectations...

Residual* of 2-year Treasury yields regressed on Federal Reserve HDSI** and J.P. Morgan US Growth FRI***, regression over the last four years; bp



* 2-year UST yields = (0.04* Fed HDSI) + 0.0954* US FRI - 5.0832. R-squared = 0.452, SE = 34bp

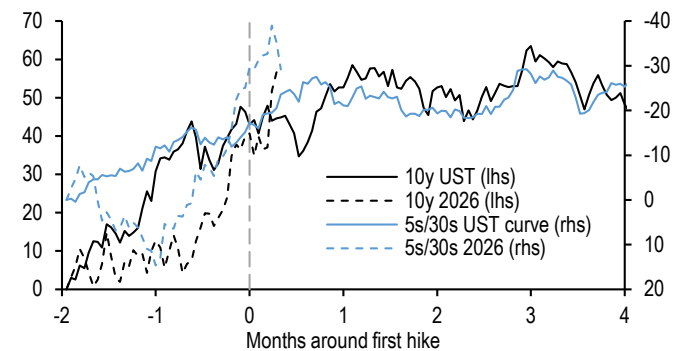
** For methodology, see [Listen up: Upgrading J.P. Morgan's central bank NLP machine](#), Joseph Lupton and Dan Weitzenfeld, 7/2/24

*** For methodology, see [Know thyself: Evaluating and using J.P. Morgan economic forecasts](#), Joseph Lupton, 9/23/2014

Source: J.P. Morgan

Figure 4: ...and the move in long-term yields has lined up with historical tightening cycles, but the curve has flattened more decisively

Cumulative change in 10-year Treasury yields (lhs, %) and 5s/30s Treasury curve (inverted rhs; bp) in months around the first Fed hike in a cycle*; bp



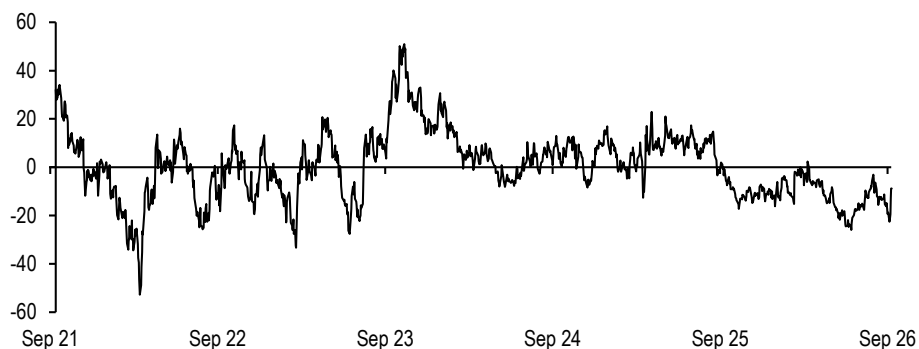
* Dates used: 6/30/99, 6/30/04, 12/14/16, 3/16/22, 9/16/26. Dashed lines show current cycle
Source: J.P. Morgan

We also made the case last week that the signaling from the September FOMC meeting indicated that this was likely the first in a series of hikes. If this is indeed the beginning of a series of hikes, history would indicate that it's very unlikely rates will pause here. Indeed, looking at tightening cycles over the last quarter century, we have found that yields tend to rise in anticipation of the first hike, but they do not tend to peak until two to three months afterward. On this basis, the move in 10-year yields has been textbook in nature, tracking the average behavior observed historically (**Figure 4**). However, it's notable that the curve flattening has been more decisive than in the average cycle, and more closely resembles the behavior of the curve around the onset of the 2022 cycle than the shallower 1999 or 2016 cycles.

If we extend out the curve, amid the of the belly this week, the intermediate sector no longer appears expensive in our framework. **Figure 5** shows that 10-year yields now appear to be just 9bp too low, after adjusting for medium-term Fed policy, inflation, and growth expectations, the Fed's balance sheet, and a trade policy uncertainty factor. This is approximately half the standard error of the model. **Alongside the retracement in front-end valuations, we think both of these factors reduce some of the headwinds for the Treasury market over the near term.**

Figure 5: Given the intermediate led rise in yields this week, 10-year yields appear nearly fairly valued in our models

Residual of J.P. Morgan 10-year Treasury fair value model*; bp



*10-year Treasury yields regressed on 1y1y OIS rates (%), 5y5y seasonally-adjusted TIPS breakevens (%), J.P. Morgan U.S. Forecast Revision Index (%), Fed B/S as share of the US economy (%), and a dummy variable for trade policy uncertainty that is 1 between 4/2/25 and 2/26/26. Regression over the last 5 years: R-squared = 9.3%, SE = 13.9bp
Source: J.P. Morgan, Federal Reserve

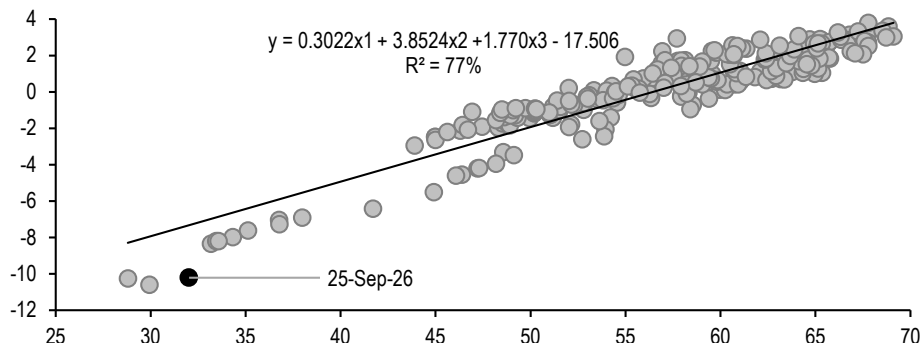
On balance, with front-end yields now in line with the shift in Fed rhetoric and growth expectations, and intermediate yields finally catching up to moves in their underlying drivers, these factors could provide some near-term support for yield levels. However, next week's employment report looms large: we forecast nonfarm payrolls increased 100k in September, with the unemployment rate holding steady at 4.1% (see *Economics*). Given the decline in initial and continuing jobless claims over the month, the risk of a stronger September reading is rising, which could justify markets pricing in a high probability of an October hike. Moreover, although it seems apparent that positioning contributed to this week's move, we are not sure portfolios are braced for a series of hikes, and any rally would likely be short-lived as investors use such a move to further reduce risk.

As a result, we remain neutral on duration, though our bearish bias is not as strong as it has been in recent weeks. We continue to recommend holding 10s/20s/30s belly-cheapening butterflies: the 20-year sector tends to underperform along the curve as

yields rise, and looks expensive after adjusting for the level of yields, the slope of the curve, and the level of implied volatility (Figure 6).

Figure 6: The 20-year sector looks more than 2bp too rich after controlling for the level of rates, the slope of the curve and the level of implied vols

10s/20s/30s butterfly regressed on 10s/30s Treasury curve (bp), 10-year Treasury yields (%), and 3mx10y implied swaption vol (bp/day), regression over the last year; bp



Source: J.P. Morgan

Given the sharp recent moves, we have also naturally received questions about whether liquidity conditions have deteriorated sharply, warranting some sort of official sector response. We construct a broad index of market functioning by combining an array of liquidity metrics we track, including market depth, price impact (which measures the average move for a \$100mn notional trade in a given tenor), and the root mean squared error (RMSE) of our Treasury par curve (Figure 7). **By this metric, market functioning remains above medium-term average levels across tenors. Under the hood, there has been some deterioration in yield curve dispersion in the belly to intermediate sector, but as we have noted previously, RMSE is closely correlated with volatility, and we would expect some dislocations to emerge in a higher-vol environment.**

Figure 7: A range of liquidity metrics indicate that Treasury market functioning is above medium-term average levels across the curve

Current levels and 3-year z-scores for Treasury market depth*, price impact**, and Treasury curve RMSE***, by sector of the curve, with Treasury market functioning index†; units as indicated

	Market depth (\$mn)		Price impact (32nds)		RMSE (bp)		Market functioning index
	Current	3y z-score	Current	3y z-score	Current	3y z-score	
2y	106	-0.2	0.10	1.1	1.4	0.2	0.4
5y	194	2.1	0.30	0.9	1.1	-0.7	0.8
10y	330	2.5	0.32	2.2	2.6	-1.8	1.0
30y	29	0.9	0.61	0.7	0.8	1.3	1.0

* The sum of the top 3 bids and offers by queue position, averaged between 8:30 and 10:30am. We break-adjust 5- and 10-year market depth, accounting for changes to the minimum price increment in both tenors effective 6/28/26

** Price impact is the average move in order book mid-price against a \$100mn flow in traded notional. See [Drivers of price impact and the role of hidden liquidity](#), 1/13/17 for more details

*** Root Mean Square Error of J.P. Morgan par fitted Treasury curve. We use Fed purchase buckets: 2y= 0-2y, 5y = 3-5y, 10y = 7-10y, 30y = 20-30y

† We multiply the price impact and RMSE z-scores by -1 so positive z-score means better Treasury market functioning

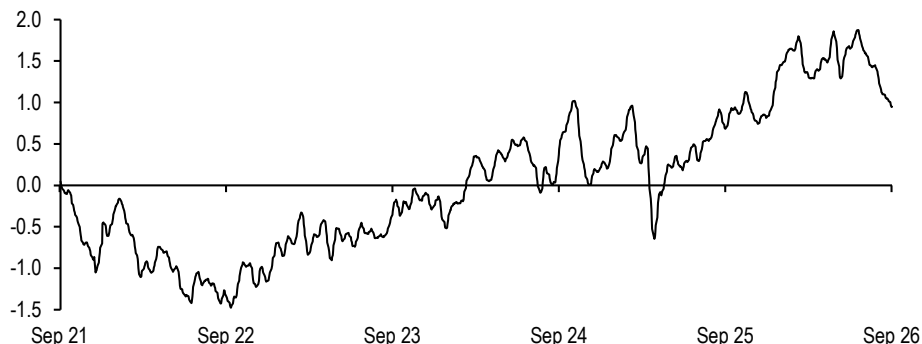
Source: J.P. Morgan, BrokerTec

We entered 2026 in a strongly positive environment, as a mix of increased dealer warehousing and the Fed's ongoing commitment to an ample reserve regime aided in structurally improving liquidity conditions (see [Ain't nothin' gonna break my stride](#), 2/27/26). **Figure 8** shows a history of the duration-weighted average of our market functioning index across

tenors: while there has been some pullback from very strong levels in July as policy uncertainty has risen, we remain well above the post-pandemic trough, **and we think this more modest deterioration underscores a more resilient Treasury market.**

Figure 8: While average market functioning has declined off July peaks, it remains at strong levels

Duration-weighted* average Treasury market functioning index**, 10-day moving average;



* We take a weighted average of our 2-, 5-, 10-, and 30-year Treasury market functioning indices, using as weights the duration of each sector versus 10-year duration

** For methodology, see **Figure 7**

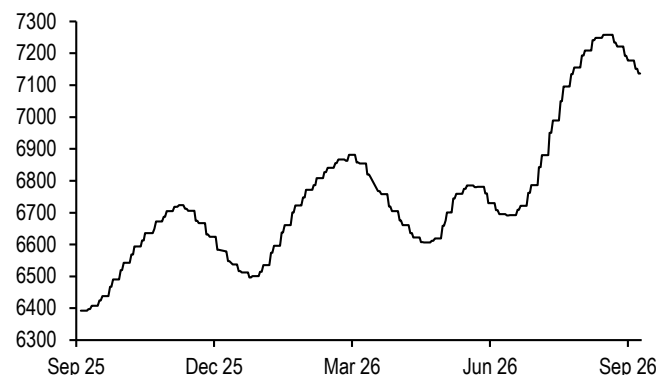
Source: J.P. Morgan, BrokerTec

T-bill issuance update

The T-bill market has grown by 11% oya, outpacing the growth of the Treasury market, and, more recently, the market digested approximately \$570bn in net issuance from early-July through early this month with relative ease (**Figure 9**). As our colleagues in short-term fixed income research have highlighted, MMFs made this process manageable, as they digested nearly 90% of the net issuance, rotating out of repo into bills over the summer (see [JPM Mid-Week US Short Duration Update](#), Pankaj Vohra, 8/26/26). Looking ahead, we expect issuance to remain negative for the next two weeks, before turning positive with an expected \$380bn in net issuance from the second week in October through Thanksgiving, and then finally turning negative once again into the December corporate tax date (**Figure 10**). Alongside this seasonal pickup in net issuance, we see scope for the TGA to rise above \$1.050tn for a few days in late-October, which would likely take reserve balances below \$2.9tn in the process. Thus, with reserves likely to return to the lows observed last year when more friction was evident in funding markets, it may be incrementally more challenging to digest supply next month than it was over the summer.

Figure 9: The summer surge in T-bill issuance was well absorbed...

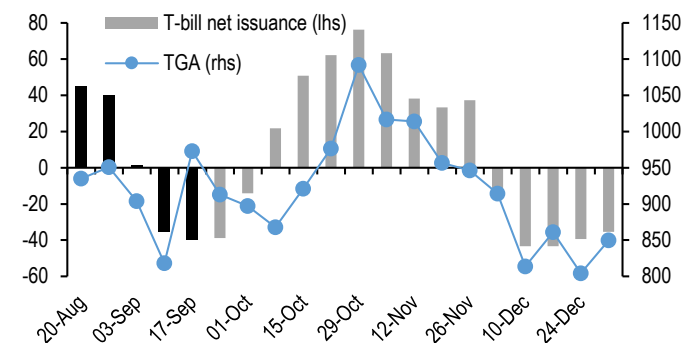
US Treasury bills outstanding; \$bn



Source: US Treasury

Figure 10: ...and we expect bill issuance to pick up again in early-October, albeit at a benign pace compared to that observed in 3Q26

Historical data and J.P. Morgan forecasts weekly net T-bill issuance (lhs; \$bn) and TGA (rhs; \$bn)



Source: J.P. Morgan, US Treasury

Reviewing the 12th annual Treasury Market Conference

Earlier this week, the 12th annual Treasury Market Conference was held by the New York Fed. A number of senior officials from the Joint Member Agencies, as well as representatives from the primary dealer, investor, and academic community gathered to review developments in the Treasury market. The conference featured speeches from Vice Chair Jefferson, NY Fed President Williams, Deputy Treasury Secretary Brooke, SEC Commissioner Uyeda, CFTC Chairman Selig, and SOMA Manager Perli. All of these speeches are available on the website of the Joint Member Agencies, and we choose to focus on some of the key themes and remarks.

While in the past this conference has been a forum to introduce new policy initiatives, this year's conference attempted to advance the ball on current policy initiatives. The morning panel brought together a wide array of market participants to discuss the recent TBAC charge, which investigated whether Treasury should invest some of its excess cash beyond and above the buffer it holds in the repo market. We discussed this charge in depth [here](#), and will not rehash all those points. The panel members largely agreed that this idea has merit, but is only truly scalable in an environment in which TGCR trades above IORB, closer to a scarce reserve regime. To the extent the Fed remains committed to an ample reserve regime, this will limit the scale of the program unless the operating framework for monetary policy shifts from its current floor system back to a corridor.

The panelists highlighted that volatility in the TGA can create undue volatility in reserve balances and therefore contribute to volatility in money markets. Therefore, they argued, any prospective repo program should be flexible in its approach, and perhaps more scalable at times of the month when the volatility in Treasury's cash flows (stemming from T-bill settlements (every Tuesday/Thursday), notes/bonds settlements (15th and end of every month), and outlays) creates an opportunity for Treasury to invest in repo markets. However, participants argued that adding one more participant to the repo markets would require Treasury to be somewhat regular and predictable: if market participants were unable to forecast Treasury's prospective demand for repo, this could exacerbate vol in repo markets rather than dampen it. Finally, panelists were clear that design matters: central clearing has its benefits, but could also cause banks to hold more capital, and time of day is also important—it was agreed that Treasury should engage in repo markets before the morning SRP operation. With this in mind, we would expect to see another charge in the future on this topic,

related to the design of the program.

The afternoon panel on stablecoins and tokenized deposits also raised questions. Importantly, the panelists argued that stablecoins have a wide variety of uses, including as a medium of payment or exchange, as a store of value for foreigners who want access to US dollars, and as a trading asset. However, it was not clear to the panelists whether increased growth in stablecoins would contribute to new demand for Treasuries: on one hand, if this demand came from cash or from foreign assets, it would represent new sources of demand. Conversely, if increased stablecoin demand came from substitution from MMF or bank deposits, it would merely reallocate existing Treasury demand, and could in fact shorten the duration of that demand, as stablecoin providers by legislative mandate can only invest in very short-term Treasuries, while banks view operating deposits as stickier, which creates latent demand for intermediate duration assets. Of note, the conference survey indicated market participants were split on whether the growth of the stablecoin industry would create new demand for Treasuries or merely reallocate it, and the survey also indicated concerns over timing mismatches between an asset that trades 24x7, while existing payment systems cannot accommodate around the clock trading. The tokenization of Treasury securities and the modernization of legacy payment systems were viewed as a way to address this mismatch.

Trade recommendations

- **Unwind short 10-year Treasuries versus 10-year Bunds**

- Unwind short 100% risk, or \$121.2mn notional of T 4.375% May-36s versus long €100mn DBR 2.90% Feb-36s
- (*Trade note: Enter long 10Y Germany vs. US, 6/5/26: P/L since inception: 13.8bp*)

- **Maintain 10s/20s/30s belly-cheapening butterflies**

- Stay long 50% risk, or \$32.1mn notional of T 4.625% Aug-36s
- Stay short 100% risk, or \$41.2mn notional of T 5.125% Aug-46s
- Stay long 50% risk, or \$16.9mn notional of T 5.125% Aug-56s
- (*US Treasury Market Daily, 9/4/26: P/L since inception: -1.7bp*)

- **Maintain 2.375% May-51 / 5.0% May-56s curve flatteners**

- Stay short 100% risk, or \$25.1mn notional of T 2.375% May-51s
- Stay long 100% risk, or \$16.6mn notional of T 5% May-56s
- (*US Fixed Income Markets Weekly, 5/15/26: P/L since inception: -1.0bp*)

Figure 11: Closed trades in the last 12 months

P/L reported in bp of yield unless otherwise indicated

TRADE	ENTRY	EXIT	P/L
Duration			
10-year duration short	09/12/25	10/16/25	-8.4
50:50 weighted 2s/5s/10s belly-cheapening butterflies	11/25/25	12/10/25	4.9
2-year duration shorts	02/12/25	03/05/26	13.9
2-year duration longs	03/20/26	04/02/26	9.4
50:50 weighted 2s/5s/10s belly-cheapening butterflies	03/06/26	05/15/26	3.7
2-year duration longs	05/15/26	06/04/26	3.8
Short 10-year Treasuries versus 10-year Bunds	06/05/26	09/25/26	13.8
Curve			
5s/20s steepeners	07/25/25	11/24/25	0.6
2s/5s flatteners	12/16/25	01/05/26	-2.6
10s/30s flatteners	01/09/26	01/20/26	1.9
5s/20s steepeners	01/28/26	02/06/26	6.2
5s/20s steepeners	02/20/26	03/11/26	0.7
10s/30s flatteners	06/12/26	07/13/26	-0.4
5s/30s flatteners	07/24/26	07/29/26	-5.8
2s/10s steepeners	07/31/26	08/28/26	-7.6
Relative value			
53:54 3.25 Jun-27s/4.875 Oct-30s/3.5 Feb-33s belly-cheapening butterflies	07/11/25	10/03/25	1.2
67:37 4.00 Jun-32s/4.25 Aug-35s/4.75 Aug-55s belly-cheapening butterflies	10/03/25	12/19/25	-3.4
50:50 weighted 5s/10s/30s belly-cheapening butterflies	10/31/25	06/12/26	-5.8
Term premium			
64:11 weighted 3s/10s/30s belly-cheapening butterfly	05/02/25	11/24/25	-18.3
Number of positive trades			11
Number of negative trades			8
Hit rate			58%
Aggregate P/L			7.8

Source: J.P. Morgan

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